

increase expected returns, but those methodologies are beyond the scope of this book.⁹

Table 9.4 International Equity Summary Statistics (1/1992–12/2014)

	EAFE	Simple Int'l Value	Simple Int'l MOM
CAGR	5.39%	12.32%	10.92%
Standard Deviation	16.50%	17.12%	19.66%
Downside Deviation (MAR = 5%)	12.10%	12.91%	15.06%
Sharpe Ratio	0.24	0.61	0.49
Sortino Ratio (MAR = 5%)	0.14	0.63	0.49
Worst Drawdown	– 56.68%	–55.71%	–55.26%
Worst Month Return	– 20.18%	–23.05%	–20.67%
Best Month Return	12.80%	19.23%	16.33%
Profitable Months	58.70%	64.13%	62.32%

[Table 9.5](#) provides the summary statistics for the real asset categories—commercial real estate and commodities—and government bonds. Over the time period examined, bonds have been the best risk-adjusted performers, which is not surprising given the dramatic drop in interest rates over this period. One could argue that lower interest rates also supported a nice run in REITs over this time period. Commodities, proxied by GSCI, had the worst run over this time period. In practice, we would likely avoid a GSCI-based commodity exposure, which is suboptimal relative to commodity exposures that exploit commodity term-structure and momentum premiums. That said, for data availability purposes, the GSCI index serves as a reasonable proxy for commodity exposure.